TheRealReal: Debrief

Use after discussion. These takeaways explain the reasoning; compare them with your original decision.

Financial Lead — Key Takeaways

- The fastest-growing line is the least profitable one: same growth is worth roughly four times as much in consignment ($535.9 M on $56.6 M) as in direct ($91.1 M on $70.7 M).
- "We keep 100% of the proceeds" is true — and irrelevant: the company also bought the goods. GMV is not revenue; revenue is not contribution.
- The next dollar of growth should feed the revenue line that keeps the most, not the one growing fastest.

Marketing Lead — Key Takeaways

- Sell-through over 80% means demand is not the constraint — the goods already sell; supply is the binding side of the marketplace.
- "Members" is anyone who ever registered an email. Buying buyers for a supply-constrained marketplace bids up prices and disappoints the buyers you just paid for.
- The cheapest consignor available is already inside: 16% of buyers already consign — the other 84% are a warm list the company is already paying for.

Operation Lead — Key Takeaways

- The winning answer separates the cost of the step from the integrity of the step — automating the chokepoint is not the same as cutting it.
- One dollar in four (24.2% of GMV) comes back after being authenticated, photographed, priced and shipped — fix it at intake.
- Sampling is cutting the chokepoint: 40% of revenue is the product — the reason a stranger mails in a $5,000 handbag.

Tech Lead — Key Takeaways

- Build the differentiating stack (the chokepoint's cost curve); buy the commodity plumbing every competitor can rent.
- Data from 50M item sales with up to 50 attributes each is the one input no competitor can purchase — it is what makes the models work.
- Freezing the platform freezes the only path to processing more items per dollar of the 40%-of-revenue line.

Account Manager — Key Takeaways

- Protect the step that creates customer trust while testing how to lower its cost.
- Different rankings can be defensible. Connect the priorities to evidence and the weekly concept.
- Example allocation: 40/30/20/10 totals 100. Explain your own allocation; priority points are not course-grade points.

Key takeaway

- A value chain hangs on one chokepoint step — the customer's real job, hardest to copy, where margin pools. Find it, defend it, and automate it; every other step can be bought or rented.
- Authentication is not a cost center. It is the product.

Apply to your venture

Draw your venture's value chain. Circle one difficult-to-copy step, name the customer problem it solves, and identify one piece of evidence you still need.

Output: A value-chain sketch plus one evidence-backed sentence for Midterm Section B.

Feedback check

Identify one evidence-backed strength in your explanation and one specific revision. Save the record and use the reflection guide.